

SEC — Risk Management and Compliance Guidance (Key Provisions)

1. Risk Management Framework

Registered investment advisers must adopt and implement written policies and procedures reasonably designed to prevent violations of the Investment Advisers Act and the rules thereunder.

Compliance programs must be reviewed at least annually for adequacy and effectiveness.

2. Best Execution Obligations

Broker-dealers must use reasonable diligence to ascertain the best market for a security and buy or sell in such market so that the resulting price to the customer is as favorable as possible under prevailing market conditions.

Best execution policies must be reviewed and updated at least annually.

Material conflicts of interest in routing orders must be disclosed to customers.

3. Recordkeeping

All required records must be maintained for the periods specified under applicable SEC rules (generally 3–6 years).

Records must be kept in an easily accessible location for the first two years.